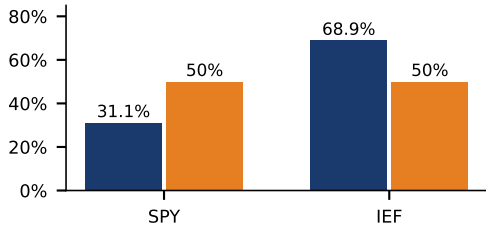
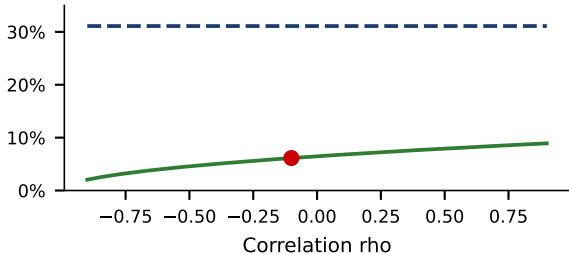


ERC: weights and risk shares



Correlation moves the risk, not the weights



■ Capital weight
 ■ Share of variance
 — ERC volatility
 - - - ERC weight of SPY
 ● Actual $\rho = -0.10$: vol 6.14%